

Chapter 2 — From Trade to Territory

🚩 The Company Establishes Power

The one-line point: A trading company that came to **buy pepper and cloth** ended up ruling **63% of the territory and 78% of the people** of the subcontinent — in exactly 100 years, 1757 to 1857. **This chapter explains how.**

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📌 Syllabus Classification

Field	Value
Subject	History → Modern India
Sub-discipline	Colonial expansion & the establishment of British rule
Period	1600 – 1857
Prelims (GS Paper I)	★★★★ <i>History of India</i> → battles, treaties, Governors-General, annexation policies
Mains (GS Paper I)	★★★★ " <i>The Freedom Struggle</i> " needs this as its foundation; also economic drain, state formation
Also feeds	Economy ★★ (the drain of wealth begins with the Diwani), Polity (Regulating Act, the collector, the courts), IR (Anglo-French rivalry, the Russian fear)
Weightage	★★★★★★ — one of the most-asked chapters in the whole series
Overlaps with	Class 7 Ch.8 (which ends exactly where this begins), Ch.3 and Ch.5 of this book

🎯 Learning Outcomes

By the end of this chapter you should be able to:

- ☐ **Explain** the **1600 charter** and what "mercantile" monopoly meant. ★
- ☐ **Name** the European rivals and **Vasco da Gama, 1498**. ★
- ☐ **Explain** why competition among companies **led to war**. ★★
- ☐ **Narrate** the Bengal conflict — the **farman**, private trade, and the nawabs' grievances. ★★
- ☐ **Narrate Plassey (1757)** and the role of **Mir Jafar**. ★★★
- ☐ **Explain the DIWANI (1765)** and **why it mattered economically**. ★★★
- ☐ **Explain** "nabobs" and the Clive story.
- ☐ **Explain** the **Residents**, the **Subsidiary Alliance**, and give examples. ★★
- ☐ **Narrate** the **Mysore wars** and **Tipu Sultan**. ★★
- ☐ **Narrate** the **three Anglo-Maratha wars** with outcomes. ★★
- ☐ **Define** **paramountcy** and name **Rani Channamma** and **Rayanna**. ★★
- ☐ **Explain the Doctrine of Lapse** and list the annexed states with years. ★★

- ☐ **Describe** the new administration — **Presidencies, the Collector, the courts, the Regulating Act 1773.** ★★
- ☐ **Describe** the transformation of the **Company army.** ★★

Start Here: The Question the Chapter Asks

"Did you know that the British originally came as a small trading company and were RELUCTANT to acquire territories? How then did they come to be masters of a vast empire?"

THE ANSWER IN ONE LINE:

They did not set out to conquer India.
They set out to make money -- and DISCOVERED that
CONTROLLING REVENUE was more profitable than TRADING.

Once that was clear, conquest followed as a business decision.

The starting condition (Class 7 Ch.8): after Aurangzeb's death in **1707**, subadars and big zamindars asserted authority and built regional kingdoms, and **"Delhi could no longer function as an effective centre."** Into that opening, *"by the second half of the eighteenth century, a new power was emerging — the British."*

1 ★★ The Company Comes East

Fact	Detail
★★ 1600	The East India Company acquired a charter from Queen Elizabeth I granting it the ★ sole right to trade with the East
What that meant	No other trading group in England could compete with it
★ Mercantile logic	"Mercantile trading companies in those days made profit primarily by EXCLUDING COMPETITION , so that they could buy cheap and sell dear. "
⚠ The limit	The royal charter could not prevent other EUROPEAN powers from entering Eastern markets

The rivals already there:

Power	Detail
★ Portuguese	Already established on the western coast , based at GOA . ★ Vasco da Gama discovered the sea route to India in 1498
Dutch	Exploring Indian Ocean trade by the early seventeenth century
French	Arrived soon after

★★ Why competition turned into warfare

ALL the companies wanted to buy THE SAME THINGS:

- fine COTTON and SILK produced in India (big European market)
- PEPPER, CLOVES, CARDAMOM, CINNAMON

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Competition PUSHED UP the purchase prices

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Higher prices REDUCED PROFITS

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"The ONLY way the trading companies could flourish was by ELIMINATING RIVAL COMPETITORS."

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Through the 17th and 18th centuries they regularly SANK EACH OTHER'S SHIPS, BLOCKADED ROUTES, and prevented rival ships from moving with supplies.

*** "TRADE WAS CARRIED ON WITH ARMS and trading posts were protected through FORTIFICATION." ***

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Fortifying settlements led to INTENSE CONFLICT WITH LOCAL RULERS

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"The Company therefore found it difficult to SEPARATE TRADE FROM POLITICS."

★★★ This causal chain is the intellectual core of the chapter and a ready-made Mains paragraph. The Company did not become political because it was greedy for empire; it became political because **the economics of monopoly trade required armed exclusion of rivals**, and armed traders inevitably collide with the state whose territory they are arming themselves in.

 **Profit depended on eliminating competitors rather than on efficiency** — so capability investment went into **weapons and forts**, not better ships or cheaper goods. Once you have built that capability, using it politically is the obvious next step.

2 ★★ Trade in Bengal, and the Road to Plassey

Year	Event
★ 1651	The first English factory set up on the banks of the river HUGLI . Its traders were called ★ " factors "; the factory had a warehouse and offices
1696	Began building a fort around the settlement
★ 1698	Bribed Mughal officials into giving the Company zamindari rights over three villages — one of which was ★ KALIKATA , which grew into Calcutta/Kolkata
★★ The farman	Persuaded Aurangzeb to issue a farman (a royal edict) granting the Company the ★ right to trade DUTY FREE

⚠️ ★★★ The abuse that caused the conflict

Aurangzeb's farman had granted **only the Company** the right to trade duty free. **But officials of the Company, who were carrying on PRIVATE TRADE on the side, were expected to pay duty. THIS THEY REFUSED TO PAY**, causing ★ "**an enormous loss of revenue for Bengal.**"

🎯 This is the specific, concrete grievance — and it is exactly the kind of detail that makes an answer precise. The dispute was not abstract. **Company servants were using a corporate exemption to run private business tax-free**, and Bengal's treasury paid for it.

★★ The nawabs push back

Murshid Quli Khan → Alivardi Khan → Sirajuddaulah. *"Each one of them was a strong ruler."*

The nawabs' actions	The nawabs' accusations
Refused to grant concessions	The Company was depriving Bengal of huge revenue
Demanded large tributes for the right to trade	It was undermining the authority of the nawab
★ Denied it any right to MINT COINS	It was refusing to pay taxes
★ Stopped it from extending its fortifications	Writing disrespectful letters and trying to humiliate the nawab and his officials

The Company's counter-claim: the *"unjust demands of the local officials were ruining the trade of the Company"*, and to expand it had to **enlarge settlements, buy up villages and rebuild forts**.

★ Note that **minting coins and fortification are SOVEREIGN powers** (recall Class 7 Ch.8 — striking coins is the definitive assertion of sovereignty). The nawabs understood exactly what was at stake. **This was never only a tax dispute.**

3 ★★ ★ The Battle of Plassey, 1757

Element	Detail
Trigger	Alivardi Khan died in 1756 ; Sirajuddaulah became nawab. The Company, worried by his power, wanted a ★ "puppet ruler" and tried to help one of his rivals become nawab
Sirajuddaulah's demands	Stop meddling in his dominion's political affairs, stop fortification , and pay the revenues
His action	Marched with ★ 30,000 soldiers to the English factory at KASSIMBAZAR , captured officials, locked the warehouse, disarmed the Englishmen and blockaded English ships — then marched on Calcutta
The response	Company officials in Madras sent forces under ★ ROBERT CLIVE , reinforced by naval fleets
★★ The battle	In 1757 Clive led the Company's army against Sirajuddaulah at PLASSEY
★★★ Why the nawab lost	<i>"One of the main reasons for the defeat of the Nawab was that the forces led by MIR JAFAR, one of Sirajuddaulah's commanders, NEVER FOUGHT THE BATTLE. Clive had managed to secure his support by promising to make him nawab after crushing Sirajuddaulah."</i>
Its significance	★ <i>"The Battle of Plassey became famous because it was the FIRST MAJOR VICTORY the Company won in India."</i>

★★ Plassey was won by **treachery, not by arms** — and saying so precisely is what distinguishes a good answer. **Mir Jafar's forces simply did not fight.** (The name "Plassey" is an anglicised **Palashi**, from the **palash** tree whose red flowers yield the gulal used at Holi.)

★ Clive's own letter to William Pitt, 7 January 1759, from Calcutta — a remarkable document of intent:

"...there will be **little or no difficulty in obtaining the ABSOLUTE POSSESSION of these rich kingdoms...** whether **an income yearly of two million sterling** with the possession of three provinces... be an object deserving the public attention..."

🎯 **Two years after Plassey, the argument for conquest is already being made to London in terms of ANNUAL INCOME.** Quote this when asked whether British expansion was accidental. **It was proposed, costed and pitched.**

4 ★ ★ ★ Puppets Fail — and the Diwani, 1765

AFTER PLASSEY: Sirajuddaulah assassinated, MIR JAFAR made nawab

"The Company was STILL UNWILLING to take over the responsibility of administration. Its prime objective was THE EXPANSION OF TRADE."

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BUT: "even the PUPPET NAWABS were not always as helpful as the Company wanted them to be. After all, they had to maintain a basic appearance of DIGNITY AND SOVEREIGNTY if they wanted RESPECT FROM THEIR SUBJECTS."

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MIR JAFAR protests -> deposed,
MIR QASIM installed

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MIR QASIM complains ->
defeated at BUXAR (1764),
driven out of Bengal,
MIR JAFAR REINSTALLED

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Mir Jafar had to pay Rs 500,000 EVERY MONTH -- but the Company wanted MORE: to finance its wars, meet trade demands and other expenses. "It wanted more territories and more revenue."

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Mir Jafar dies 1765. CLIVE DECLARES:
*** "WE MUST INDEED BECOME NAWABS OURSELVES." ***

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*** 1765: the MUGHAL EMPEROR APPOINTED THE COMPANY AS
THE DIWAN OF THE PROVINCES OF BENGAL ***

★ ★ ★ Why the Diwani was the turning point — the economic argument

This is the single most important economic point in the chapter.

THE PROBLEM BEFORE 1765

From the early 18th century the Company's trade with India had EXPANDED. But it had to buy most Indian goods with
*** GOLD AND SILVER IMPORTED FROM BRITAIN ***
-- because "at this time BRITAIN HAD NO GOODS TO SELL IN INDIA."

So every purchase meant an OUTFLOW OF BULLION from Britain.

THE SOLUTION AFTER 1765

"The outflow of gold from Britain SLOWED after the Battle of Plassey, and ENTIRELY STOPPED after the assumption of Diwani."

*** NOW REVENUES FROM INDIA COULD FINANCE COMPANY EXPENSES. ***

These revenues were used to:

- PURCHASE cotton and silk textiles IN INDIA
- MAINTAIN Company troops
- MEET the cost of building the fort and offices at Calcutta

★ ★ ★ **Read what has just happened.** The Company now **collected Bengal's land revenue** and used **that same money** to buy Bengal's cloth — which it then sold in Europe at a profit.

Indian goods were being bought with Indian money, and shipped away. The Company no longer paid for its Indian purchases at all.

🎯 **This is the origin of what nationalist economists later called the DRAIN OF WEALTH** — and Dadabhai Naoroji's argument (Ch.8) traces directly back to 1765. **If you can explain the Diwani mechanism in three sentences, you have the foundation of every economic-critique-of-colonialism answer you will ever write.**

📖 The Company **stopped funding operations from its own capital and started funding them from the acquired asset's own cash flow** — the acquisition paid for itself, and then for the acquirer.

💰 ★ "Nabobs"

- After Plassey, the nawabs were forced to give **land and vast sums of money as personal gifts** to Company officials
- ★ **Robert Clive** came to Madras from England in **1743 at the age of 18**; when he left India in **1767** his Indian fortune was worth ★ **£401,102**
- Appointed **Governor of Bengal in 1764** and asked to **remove corruption**, he was himself **cross-examined by the British Parliament in 1772**. ★ **Acquitted, he committed suicide in 1774**
- ⚠️ **But NCERT is fair:** "*not all Company officials succeeded in making money like Clive. Many died an early death in India due to **disease and war**, and it would not be right to regard all of them as corrupt.*" Many came from **humble backgrounds**
- ★ Those who returned rich led **flashy lives** and were called ★ **"NABOBS"** — an anglicised *nawab* — and were **ridiculed as upstarts and social climbers** in British plays and cartoons

★ **Clive's own self-defence before Parliament is worth quoting for its sheer nerve:** *"an opulent city lay at my mercy; its richest bankers bid against each other for my smiles; I walked through vaults... piled on either hand with gold and jewels! Mr Chairman, **at this moment I stand astonished at my own moderation.**"**

5 ★ ★ ★ How the Company Expanded, 1757–1857

★ The method, stated by NCERT: "The Company **RARELY LAUNCHED A DIRECT MILITARY ATTACK** on an unknown territory. Instead it used a variety of **POLITICAL, ECONOMIC AND DIPLOMATIC METHODS** to extend its influence before annexing an Indian kingdom."

👤 Residents ★ ★

Fact	Detail
When	Appointed in Indian states after the Battle of Buxar (1764)
What they were	Political or commercial agents whose job was to serve and further the interests of the Company
★ What they did	Through them, Company officials began interfering in the internal affairs of Indian states — trying to decide who was to succeed to the throne and who was to be appointed to administrative posts

★ James Mill (1832) on the Resident's real power — a superb quotation:

*"We place a resident, **who really is KING OF THE COUNTRY**, whatever injunctions of non-interference he may act under. **As long as the prince acts in perfect subservience...** things go on quietly... **but when anything of a different nature happens**, the moment the prince takes a course which the British Government think wrong, **then comes clashing and disturbance.**"*

💖 ★ ★ ★ The Subsidiary Alliance

THE TERMS

- [1] Indian rulers were *** NOT ALLOWED TO HAVE THEIR OWN INDEPENDENT ARMED FORCES ***
- [2] They were to be *** PROTECTED BY THE COMPANY ***
- [3] But they had to *** PAY FOR THE "SUBSIDIARY FORCES" *** the Company maintained for that protection
- [4] *** IF THEY FAILED TO PAY, PART OF THEIR TERRITORY WAS TAKEN AWAY AS PENALTY ***

★ ★ The worked examples:

Case	Detail
AWADH	Under Richard Wellesley (Governor-General 1798–1805), the Nawab of Awadh was forced to give over HALF of his territory to the Company in ★ 1801 , having failed to pay for the subsidiary forces
HYDERABAD	Also forced to cede territories on similar grounds

★ ★ ★ Understand why this was so effective, because it is the standard Mains point.

The alliance was a **trap disguised as protection**. Disarm the ruler → he cannot defend himself → he *needs* your troops → he cannot afford them → **you take his land as payment**. The state loses its army first, then its revenue, then its territory — **without a single battle**.

💻 It is a **subscription he cannot cancel, cannot afford, and pays for in equity**. Each missed payment transfers a piece of the asset. The endgame is built into the terms.

6 ★ ★ Direct Confrontation: Mysore and the Marathas

"The Company resorted to **direct military confrontation** when it saw a threat to its political or economic interests."

🇮🇳 Tipu Sultan — "the Tiger of Mysore" ★ ★

Fact	Detail
The rulers	★ Haidar Ali (1761–1782) and his son ★ Tipu Sultan (1782–1799)
★ Why Mysore mattered	It controlled the profitable trade of the MALABAR COAST, where the Company bought pepper and cardamom
★ ★ The provocation, 1785	Tipu stopped the export of sandalwood, pepper and cardamom through his ports, and disallowed local merchants from trading with the Company
★ And	He established a close relationship with the FRENCH in India and modernised his army with their help
British reaction	They saw Haidar and Tipu as " <i>ambitious, arrogant and dangerous — rulers who had to be controlled and crushed.</i> "
★ ★ Four wars	1767–69, 1780–84, 1790–92, and 1799
★ Note carefully	" ONLY IN THE LAST — the Battle of SHRIRANGAPATNAM — did the Company ultimately win a victory." In 1792 Tipu had been forced to sign a treaty and give two of his sons as hostages
★ ★ The end	Tipu Sultan was killed defending his capital Shrirangapatnam on 4 May 1799 ; Mysore was placed under the former ruling dynasty of the WODEYARS , and a subsidiary alliance was imposed

🎯 The economic motive is explicit here and worth stressing: Tipu was crushed **after he closed his ports to Company trade**. This is not a story about religion or civilisation — **it is about pepper, cardamom and the Malabar coast**.

★ Tipu's mechanical toy tiger, showing a tiger mauling a European soldier, was **taken by the British and is now in the Victoria and Albert Museum in London** — a small, pointed fact about looted heritage.

🏹 The Anglo-Maratha Wars ★ ★

Starting position (Class 7 Ch.8): after the **Third Battle of Panipat, 1761**, the Marathas' dream of ruling from Delhi was shattered. They were divided under chiefs — ★ **Sindhia, Holkar, Gaikwad and Bhonsle** — held together in a **confederacy under a Peshwa** based at **Pune**. ★ **Mahadji Sindhia and Nana Phadnis** were the famous statesmen of the late eighteenth century.

War	Years	Outcome
★ First	ended 1782 , Treaty of SALBAI	★ No clear victor
★ Second	1803–05	Fought on different fronts; the British gained ★ ORISSA and the territories north of the Yamuna including AGRA and DELHI
★ ★ Third	1817–19	★ Maratha power came to an end . The Peshwa was removed and sent to BITHUR near KANPUR with a pension . The Company now had complete control over the territories south of the Vindhya

🔗 **Bithur matters later:** the Peshwa's adopted son **Nana Saheb** — whose pension the British refused to continue — becomes a leader of the **1857 revolt (Ch.5)**. **The pension of 1818 detonates in 1857.**

7 ★ ★ ★ Paramountcy — and Resistance

Fact	Detail
★ Who	Lord Hastings , Governor-General 1813–1823
★ ★ The doctrine	A new policy of ★ "PARAMOUNTCY" : the Company claimed its authority was paramount or SUPREME , hence greater than that of Indian states
The consequence	<i>"In order to protect its interests, it was justified in annexing or threatening to annex ANY Indian kingdom."</i>

★ ★ Resistance — Rani Channamma and Rayanna

This process **"did not go unchallenged."**

Person	Detail
★ ★ RANI CHANNAMMA of KITOOR (in present-day Karnataka)	Took to arms and led an anti-British resistance movement ; ★ arrested in 1824 and died in prison in 1829
★ RAYANNA , a poor chowkidar of Sangoli in Kitoor	Carried on the resistance ; with popular support he destroyed many British camps and records ; ★ caught and hanged by the British in 1830

★ **Rayanna deserves attention.** NCERT deliberately names a **poor village watchman** alongside a queen. **Resistance was not only royal** — and destroying *records* was itself a targeted act against the colonial information order (Ch.1).

🐻 The north-west and the Russian fear

Fact	Detail
★ The anxiety	In the late 1830s the Company became worried about RUSSIA — it imagined Russia might expand across Asia and enter India from the north-west
Afghanistan	A prolonged war 1838–1842 ; established indirect Company rule
★ Sind	Taken over in 1843
★ ★ Punjab	The presence of ★ MAHARAJA RANJIT SINGH held the Company back. After his death in 1839 , two prolonged wars were fought with the Sikh kingdom, and ★ Punjab was annexed in 1849

8 ★ ★ ★ The Doctrine of Lapse

Fact	Detail
★ ★ Who	LORD DALHOUSIE , Governor-General 1848–1856
★ ★ ★ The doctrine	<i>"If an Indian ruler died without a MALE HEIR, his kingdom would 'LAPSE' — that is, become a part of Company territory."</i>

★ ★ The states annexed — learn these with years:

State	Year
SATARA	1848
SAMBALPUR	1850
UDAIPUR	1852
NAGPUR	1853
★ JHANSI	1854

★ ★ ★ And then Awadh, 1856 — the different argument

Finally, in **1856**, the Company also took over **AWADH**. ★ "This time the British had an **ADDED ARGUMENT** — they said they were '**OBLIGED BY DUTY**' to take over Awadh in order to **FREE THE PEOPLE** from the '**MISGOVERNMENT**' of the Nawab!"

★ ★ "Enraged by the humiliating way in which the Nawab was deposed, **THE PEOPLE OF AWADH JOINED THE GREAT REVOLT THAT BROKE OUT IN 1857.**"

🔗 **Note NCERT's exclamation mark — it is editorialising, and rightly.** Awadh was **not** taken under the Doctrine of Lapse; it was taken on a claim of **misgovernment**, which was a new and more expansive justification: *we may annex you not because you have no heir, but because we judge you to be ruling badly.*

★ ★ **And the consequence is stated in the very next sentence. Awadh 1856 → Revolt 1857.** That is the single most important causal link in the book, and it hands you Chapter 5.

The result by 1857:

"By 1857, the Company came to exercise **DIRECT RULE** over about

*** 63 PER CENT OF THE TERRITORY ***
*** 78 PER CENT OF THE POPULATION ***

of the Indian subcontinent. Combined with its **INDIRECT INFLUENCE** on the remaining territory and population, the East India Company had **VIRTUALLY THE WHOLE OF INDIA UNDER ITS CONTROL.**"

9 ★ ★ ★ Setting Up a New Administration

Fact	Detail
★ Who	WARREN HASTINGS , Governor-General 1773–1785
★ ★ Presidencies	British territories were divided into ★ THREE PRESIDENCIES: BENGAL, MADRAS and BOMBAY . Each was ruled by a Governor ; the supreme head was the Governor-General

⚖️ ★ ★ ★ The new system of justice, from 1772

Court	Detail
★ FAUJDARI ADALAT	The criminal court — still under a ★ <i>qazi</i> (judge) and a ★ <i>mufti</i> (jurist expounding the law), but under the supervision of the collectors
★ DIWANI ADALAT	The civil court — ★ <i>Maulvis</i> and Hindu <i>pandits</i> interpreted Indian laws for the EUROPEAN DISTRICT COLLECTORS who presided

★★ The codification problem and its solution:

A major problem was that **Brahman pandits** gave **DIFFERENT INTERPRETATIONS** of local laws based on different schools of the *dharmashastra*. To bring about **uniformity**:

- ★ In 1775, **ELEVEN PANDITS** were asked to compile a **DIGEST OF HINDU LAWS**
- ★ **N. B. HALHED** translated this digest into English
- ★ By 1778, a code of **MUSLIM LAWS** was also compiled for the benefit of European judges

| ★★ **Regulating Act of 1773** | Established a new **SUPREME COURT**; a **court of appeal** — the **SADAR NIZAMAT ADALAT** — was set up at **CALCUTTA** |

🎯 **The codification point is a strong Mains observation.** Indian law had been **plural, local and interpretive**. To govern it, the British **froze it into a single written code** — and in doing so **changed it**. The same move as the census (Ch.1): **making something legible to the state alters it**.

🏛️ ★★ The Collector

"The principal figure in an Indian district was the **COLLECTOR**. As the title suggests, his main job was to **COLLECT REVENUE AND TAXES** and **MAINTAIN LAW AND ORDER** in his district with the help of judges, police officers and darogas."

★★ "His office — the **COLLECTORATE** — became the **NEW CENTRE OF POWER AND PATRONAGE** that steadily **REPLACED PREVIOUS HOLDERS OF AUTHORITY**."

★ **The name tells you the priority.** Not "the Governor", not "the Magistrate" — **the Collector**. Revenue extraction was the defining function of the district officer, and the office **survives in independent India to this day**, which makes it an excellent Polity/Governance crossover.

★ **Warren Hastings's impeachment:** when he returned to England in **1785**, **Edmund Burke** accused him of being **personally responsible for the misgovernment of Bengal**, leading to an **impeachment proceeding in the British Parliament that lasted SEVEN YEARS**. Burke's speech: "*I impeach him in the name of the people of India, whose rights he has trodden under his foot and whose country he has turned into a desert... I impeach the common enemy and oppressor of all.*"

10 ★★ The Company Army

THE MUGHAL ARMY

Mainly **CAVALRY** (sawars: trained soldiers on horseback) and **INFANTRY** (paidal, foot soldiers)

Trained in **ARCHERY** (teer-andazi) and the use of the **SWORD**

CAVALRY DOMINATED; the state felt no need for a large professionally trained infantry

Rural areas had many **ARMED PEASANTS**, and local **ZAMINDARS** supplied paidal soldiers

THE COMPANY ARMY

Recruited **PEASANTS** and trained them as **PROFESSIONAL SOLDIERS** -- the *** **SEPOY ARMY** *** (from sipahi, meaning soldier)

From the 1820s, as warfare technology changed, **CAVALRY** requirements **DECLINED** and **INFANTRY REGIMENTS** became more important -- because the empire was fighting in **BURMA, AFGHANISTAN** and **EGYPT**, where soldiers used **MUSKETS** and **MATCHLOCKS**

★ The change began in the eighteenth century, when Mughal successor states like AWADH and BANARAS started recruiting peasants and training them as professional soldiers — and *"the East India Company adopted the same method."*

⚠️ ★ ★ ★ The tension that produced 1857

In the early nineteenth century the British began to develop a ★ **uniform military culture**. Soldiers were increasingly subjected to ★ **European-style training, drill and discipline that regulated their life far more than before.**

★ ★ "Often this created problems since CASTE AND COMMUNITY FEELINGS WERE IGNORED in building a force of professional soldiers. Could individuals so easily give up their caste and religious feelings? Could they see themselves ONLY as soldiers and NOT as members of communities?"

🎯 NCERT is planting Chapter 5 here, deliberately. The sepoy army was built by **requiring men to set aside the identities they actually lived by**. That contradiction — professional soldier versus member of a caste and community — is what the greased cartridge would detonate in 1857. **Carry this forward.**

🚢 One more enabler

★ **Steam technology** in the early nineteenth century: the voyage to India fell from **six to eight months** to ★ **three weeks**, *"enabling more Britishers and their families to come to a far-off country like India."*

Prelims

Topic	The exact thing to know
1600 charter ★★	From Queen Elizabeth I ; sole right to trade with the East
Vasco da Gama ★	Sea route to India, 1498 ; Portuguese base at Goa
First English factory ★	Hugli, 1651 ; traders called " factors "
Kalikata ★	Zamindari over three villages, 1698 → Calcutta
Farman ★★	From Aurangzeb — duty-free trade for the Company
Bengal nawabs ★	Murshid Quli Khan → Alivardi Khan → Sirajuddaulah
Plassey ★★ ★	1757; Clive; Mir Jafar did not fight; first major Company victory
Buxar ★★	1764; Mir Qasim defeated; Residents appointed after it
DIWANI ★★ ★	1765 ; granted by the Mughal emperor ; stopped the outflow of British gold
"We must indeed become nawabs ourselves" ★	Clive, 1765
Nabobs ★	Anglicised <i>nawab</i> ; Clive's fortune £401,102 ; cross-examined 1772, suicide 1774
Subsidiary Alliance ★★ ★	No independent forces; pay for subsidiary troops; territory forfeited on default. Awadh 1801 (half its territory), Hyderabad
Wellesley ★	Governor-General 1798–1805
Mysore ★★	Haidar Ali (1761–82), Tipu (1782–99); four wars 1767–69, 1780–84, 1790–92, 1799; Tipu killed 4 May 1799 at Shrirangapatnam; Wodeyars restored
Tipu's 1785 act ★	Stopped export of sandalwood, pepper, cardamom ; allied with the French
Anglo-Maratha wars ★★	1st → Treaty of Salbai, 1782 , no clear victor; 2nd 1803–05 → Orissa, Agra, Delhi ; 3rd 1817–19 → Peshwa removed to Bithur
Paramountcy ★★	Lord Hastings, 1813–1823
Kitoor ★★	Rani Channamma (arrested 1824 , died 1829); Rayanna , chowkidar of Sangoli , hanged 1830
North-west ★	Afghan war 1838–42; Sind 1843; Punjab 1849 after Ranjit Singh's death in 1839
Doctrine of Lapse ★★ ★	Dalhousie (1848–56); Satara 1848, Sambalpur 1850, Udaipur 1852, Nagpur 1853, Jhansi 1854
Awadh 1856 ★★ ★	Annexed on the ground of " misgovernment ", not lapse → fed the 1857 revolt
1857 extent ★★	63% of territory, 78% of population under direct rule
Warren Hastings ★★	Governor-General 1773–85; three Presidencies ; impeached, Burke , seven years
Courts ★★	faujdari adalat (criminal, qazi and mufti) / diwani adalat (civil, maulvis and pandits)
Codification ★	1775 eleven pandits; Halhed translated; 1778 Muslim code
Regulating Act 1773 ★★	Supreme Court; Sadar Nizamat Adalat at Calcutta
Collector ★★	Revenue + law and order; the Collectorate replaced earlier authority
Sepoy ★	From sipahi ; peasants trained as professionals
Steamships	Journey cut from 6–8 months to 3 weeks

Traps:

- "The Mughal empire became stronger in the eighteenth century" → **FALSE** (NCERT true/false)

- "The English East India Company was the only European company trading with India" → **FALSE**. Portuguese, Dutch, French (*NCERT true/false*)
- "Awadh was annexed under the Doctrine of Lapse" → **FALSE**. On the ground of **misgovernment**, in 1856
- "The Company won all four Mysore wars" → **FALSE**. It won **only the fourth**
- "The first Anglo-Maratha war was a decisive British victory" → **FALSE**. No clear victor; Treaty of Salbai
- "Plassey was won by superior British arms" → **Misleading**. Mir Jafar's forces never fought
- "Punjab was annexed while Ranjit Singh ruled" → **FALSE**. Only after his death in 1839, in 1849

Mains

- ★★ ★ **Economy:** "Explain how the acquisition of the Diwani transformed the Company's finances." — the bullion-outflow argument and the origin of the **drain of wealth**
 - ★★ ★ "The Subsidiary Alliance annexed states without fighting them." Examine
 - ★★ "British expansion in India was neither accidental nor absent-minded." Discuss — use **Clive's 1759 letter**, paramountcy and the Doctrine of Lapse
 - ★★ **Governance:** the **Collector** and the colonial district — and its survival after 1947
 - ★★ **Law:** the codification of Hindu and Muslim law as an act of **state simplification**
 - ★ **Resistance:** Rani Channamma and Rayanna — that resistance preceded and accompanied conquest throughout
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Glossary

Term	Meaning
Mercantile	A business enterprise profiting by buying cheap and selling dear
Farman	A royal edict or order
Factor / Factory	Company trader / the warehouse-and-office settlement
Puppet	A ruler controlled by someone else
Diwani	The right to collect land revenue
Nabob	Anglicised "nawab" — a Company man returned rich
Resident	Company political agent posted in an Indian state
Subsidiary Alliance	Treaty disarming a ruler and charging him for Company protection
Paramountcy	The claim that Company authority was supreme over Indian states
Doctrine of Lapse	Annexation of a state whose ruler died without a male heir
Presidency	Bengal, Madras or Bombay — the three administrative units
Faujdari / Diwani adalat	Criminal / civil court
Qazi / Mufti	Judge / jurist expounding Muslim law
Dharmashastra	Sanskrit texts prescribing social rules, from c. 500 BCE
Sepoy	From <i>sipahi</i> , soldier
Sawar / Paidal	Cavalryman / foot soldier
Musket / Matchlock	Infantry firearms
Impeachment	Trial by the House of Lords on charges brought by the Commons
Confederacy	Alliance — as of the Maratha chiefs under the Peshwa

2-MINUTE RECAP

1. **1600:** charter from **Elizabeth I** giving the Company the **sole English right** to trade east. Profit came from **excluding competitors**, so **trade was carried on with arms** — which made conflict with local rulers unavoidable.
2. **1651 Hugli factory** → **1698 zamindari over three villages including Kalikata** → **Aurangzeb's farman for duty-free trade**. The conflict arose because **officials evaded duty on their PRIVATE trade**, costing Bengal enormous revenue.
3. **Plassey, 1757:** Clive against **Sirajuddaulah**; won because ★ **Mir Jafar never fought**. The **first major Company victory**.
4. **Puppets failed** — Mir Jafar deposed, **Mir Qasim defeated at Buxar (1764)**. Clive: "**We must indeed become nawabs ourselves.**"
5. ★ ★ **DIWANI, 1765:** Bengal's revenue now financed the Company. **Britain had no goods to sell in India**, so purchases had been paid in **bullion**; after the Diwani that **stopped entirely** — Indian goods were bought with **Indian revenue**.
6. **Nabobs:** Clive's fortune of **£401,102**, his 1772 cross-examination and 1774 suicide — but not all officials grew rich; many died of disease and war.
7. **Expansion was gradual and diplomatic:** **Residents** after Buxar, then the ★ **Subsidiary Alliance** — no independent army, pay for our troops, **forfeit territory on default** (**Awadh 1801**, Hyderabad).

8. **Mysore:** Haidar Ali and **Tipu**, who in **1785** closed his ports to Company trade and allied with the **French**. **Four wars**; the Company won **only the fourth**; **Tipu died 4 May 1799**.
 9. **Marathas:** Salbai (**1782**, no victor) → **1803–05** (Orissa, Agra, Delhi) → **1817–19**, Peshwa pensioned off to **Bithur**.
 10. **Paramountcy** under **Lord Hastings**. Resisted by **Rani Channamma of Kitoor** and the chowkidar **Rayanna**.
 11. **North-west:** Afghan war 1838–42, **Sind 1843**, **Punjab 1849** after Ranjit Singh's death.
 12. ★ ★ **Doctrine of Lapse (Dalhousie):** **Satara 1848**, **Sambalpur 1850**, **Udaipur 1852**, **Nagpur 1853**, **Jhansi 1854** — and **Awadh in 1856** on grounds of "misgovernment", which fed directly into the **1857 revolt**.
 13. **By 1857: 63% of territory and 78% of the population** under direct rule.
 14. **Administration:** three **Presidencies**; **faujdari** and **diwani adalats**; law **codified** (1775 digest, Halhed's translation, 1778 Muslim code); **Regulating Act 1773** → Supreme Court and **Sadar Nizamat Adalat**; and the **Collector**, whose office replaced all previous authority.
 15. **The army** shifted from cavalry to a **professional sepoy infantry** under **European drill and discipline** — which **ignored caste and community feeling**, setting up 1857.
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Test Yourself

Prelims style

1. Fill in the blanks: (a) The British conquest of Bengal began with the Battle of _____. (b) Haidar Ali and Tipu Sultan ruled _____. (c) Dalhousie implemented the Doctrine of _____. → (a) *Plassey* (b) *Mysore* (c) *Lapse*.
2. Consider the following statements about the Battle of Plassey:
 1. It was fought in 1757 under Robert Clive.
 2. Mir Jafar's forces did not fight against the Company.
 3. It was the first major victory the Company won in India. → *All three*.
3. The assumption of the Diwani in 1765 benefited the Company chiefly because — → *Bengal's revenues could now finance its expenses and purchases, ending the outflow of gold from Britain*.
4. Under the Subsidiary Alliance, if an Indian ruler failed to pay for the subsidiary forces — → *Part of his territory was taken away as penalty, as with Awadh in 1801*.
5. Which of the following was annexed on the ground of "misgovernment" rather than under the Doctrine of Lapse? → *Awadh, in 1856*.
6. Consider the following pairs:
 1. Faujdari adalat — criminal court
 2. Diwani adalat — civil court
 3. Sadar Nizamat Adalat — court of appeal at Calcutta → *All three*.

Mains style

7. "*The Diwani of 1765 marks the true beginning of the colonial economy.*" Discuss. **(250 words)**
8. Examine the Subsidiary Alliance as an instrument of expansion without conquest. **(250 words)**
9. "*British expansion in India was a series of deliberate commercial decisions, not an accident of history.*" Critically examine. **(250 words)**

10. Discuss the administrative innovations of the Company between 1772 and 1785 and their long-term significance. **(150 words)**

Self-check (out loud, no notes):

- Why did trade require arms?
- What exactly caused the quarrel between the Company and the Bengal nawabs?
- Explain the Diwani's economic effect in three sentences.
- State the four terms of the Subsidiary Alliance.
- List the Doctrine of Lapse annexations with years — and say why Awadh is different.
- Name the three Anglo-Maratha wars and their outcomes.
- What tension in the sepoy army does NCERT flag, and what does it foreshadow?